Regulatory risk a significant headwind for PJM and ERCOT data-centre projects

North America Power
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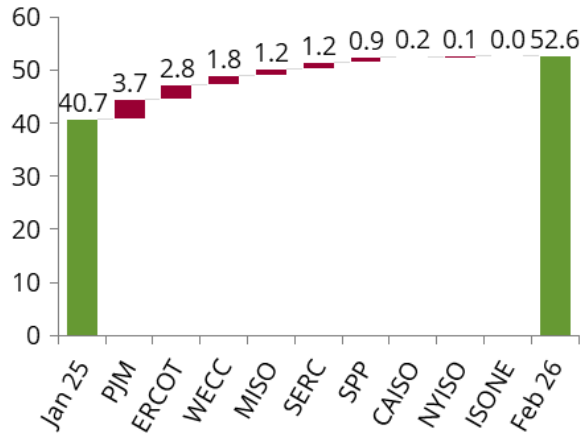
- **Tracked operational US data-centre rated capacity rose by 11.2 GW y/y, but headwinds growing in largest data-centre markets.**
- **Additions led by PJM (3.7 GW) and ERCOT (2.2 GW); transmission constraints limited DOM energy demand growth.**
- **Data-centre projects in PJM face significant policy uncertainty from co-location, capacity market, interconnection reforms.**
- **We maintain that large-load interconnection process reforms will limit grid-facing ERCOT large-load energisation in 2026, but upside risks remain.**

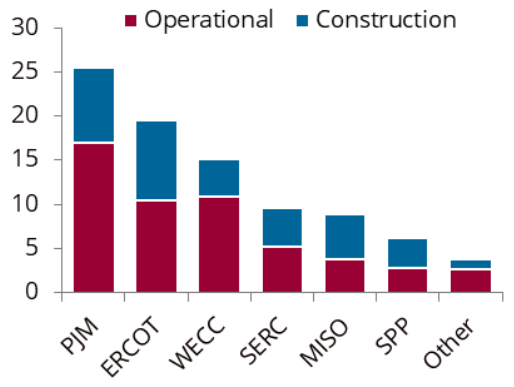
Updated vendor data show an 11.2 GW increase in data-centre rated capacity since January 2025, led by PJM (+3.7 GW) and ERCOT (+2.2 GW) (see Figure 1). However, regulatory hurdles pose significant uncertainty for data-centre projects in PJM and ERCOT. We believe data-centre energisation accounted for over half of the 11.9 GW Lower 48 weather-normalised load growth we model y/y in 2025. Nearly 50% of tracked under-construction data-centre capacity remains in PJM and ERCOT, but construction rates are rising in other markets, with nearly 17.0 GW under-construction across WECC, SERC, MISO and SPP (see Figure 2).

Fig 1: Tracked US operational data-centre rated capacity, GW



Source: Baxtel, Energy Aspects

Fig 2: Tracked US data-centre rated capacity, GW



Source: Dominion Energy, Energy Aspects

PJM load growth

Our model shows PJM weather-normalised load grew by nearly 2.2 GW y/y in 2025, led by Dominion zone at 1.0 GW y/y. Dominion Energy, which shares its namesake load zone with NOVEC and ODEC, connected 0.7 GW across 11 data centres in 2025 (down by 0.2 GW y/y), the lowest since 2021 (see Figure 3). The gap reflects lagged energisation from additions in recent years consistent with ramp-up and load-factor expectations. Dominion expects 13 data centres to connect in 2026, with incremental transmission upgrades in the area expected to complete this spring through 2028 unlocking incremental demand. Nearly 10.2 GW of Dominion's 48.5 GW large load queue has signed an Electric Service Agreement (ESA), but new ESA signers face exit fees and higher collateral from January 2027.

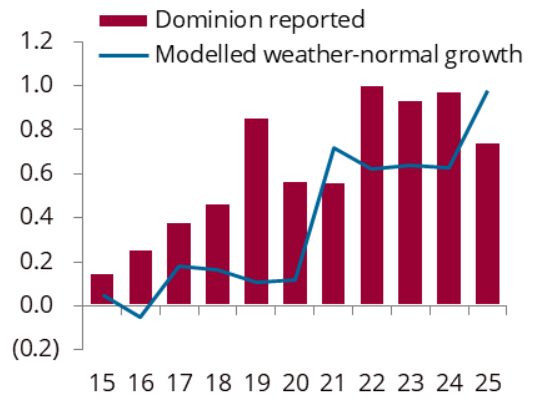
While DOM zone will continue with strong data-centre additions, rapid construction of AI data centres in AEP, ATSI and PPL adds 0.5 GW of upside risk to our 2026 PJM growth forecast of 2.7 GW y/y. AEP, which saw the second-highest load growth in 2025 at 0.9 GW y/y, reported that its contracted data-centre capacity now stands at 11 GW in Ohio, 3 GW in Indiana and 1 GW in Virginia. We also track 0.7 GW of data centres under construction in ComEd, the largest amount besides DOM and AEP. Exelon reported in the company's latest earnings report that it added nearly 0.2 GW of data-centre demand in 2025 y/y, while our model is showing close to 0.1 GW of net weather-normalised growth across ComEd's footprint.

PJM regulatory hurdles

PJM is in the midst of several market reforms that could limit data-centre capacity additions in the coming years. The ISO recently filed with FERC a proposal to amend its co-location rules, which could encourage data centres to co-locate with existing resources, or else submit planned generating capacity in PJM's interconnection queue. Circumventing the interconnection queue to bring incremental capacity onto the system is a key aim of data-centre developers. The filing does establish a 50 MW threshold for behind-the-meter generators seeking to co-locate, below which the generator would not need to sign an interconnection agreement, but the size of most planned data-centres' capacity exceeds that threshold (see Figure 4).

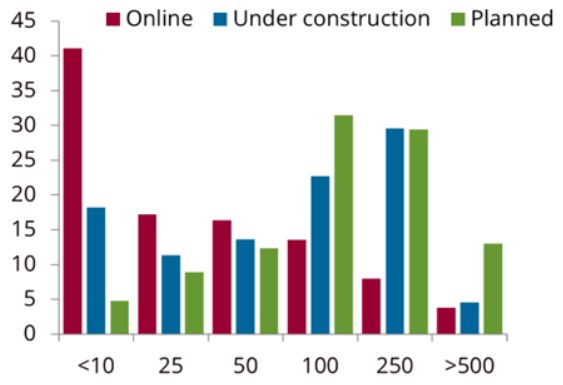
PJM's proposal stated that a new data centre that co-located could qualify under another ISO interconnection reform proposal called Bring Your Own New Generation (BYONG). Data centres co-locating under BYONG would avoid obligations in future capacity auctions, including the Reliability Backstop Auction, and risks under the Connect and Manage proposal. Connect and Manage would force large loads to accept involuntary curtailment during emergencies, a scheme that data-centre stakeholders largely oppose.

Fig 3: Dominion data-centre capacity additions, GW



Source: Baxtel, Energy Aspects

Fig 4: Share of PJM data centres by status, size, % (y axis), GW (x axis)



Source: Baxtel, Energy Aspects

ERCOT load growth

Our model shows ERCOT weather-normalised load grew by nearly 3.0 GW y/y in 2025, when excluding battery demand. We expect a similar level of growth in 2026 on the expectation that regulatory uncertainty will limit grid-facing ERCOT large-load energisation in the near term as the ISO works through concurrent reforms.

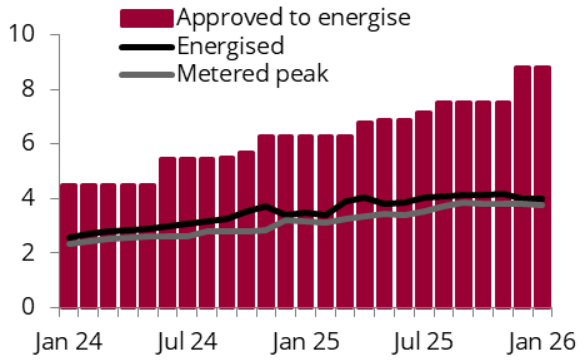
Oncor, which serves much of ERCOT's North and West zones, reported nearly 255 GW of data-centre requests in its latest earnings. Just 38 GW of that queue meets Senate Bill 6 (SB 6) standards, which include criteria such as demonstrating a financial commitment. Oncor also reported that ERCOT is close to approving a transmission project that would serve 4 GW of large loads in South Dallas, which targets a December 2028 in-service date. AEP, covering most of the South zone and part of the West, reports a 69 GW large-load queue, including 36 GW contracted load compliant with SB 6. CenterPoint reported 2.5 GW of large loads under construction and a further 5 GW of 'firm' commitments in its Houston footprint. Refining and commercial growth should support Houston demand, but our database tracks only 1.5 GW of data-centre projects in the Coastal zone, which includes Houston (see Figure 6).

ERCOT regulatory hurdles

ERCOT fully implemented its Large Load Interconnection Study (LLIS) process on 15 December 2025, then days later announced it would be replaced by a new batch-study process. Stakeholders have reported delays, even for late-stage projects, amid process uncertainty. Meanwhile, ERCOT must comply with the large-load requirements that were enacted under Texas SB 6 last year.

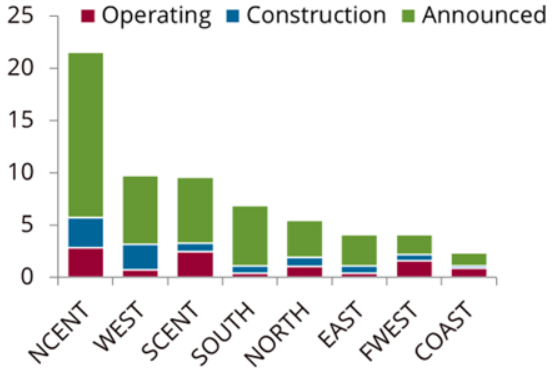
ERCOT sought to fast-track elements of the batch study design to hasten time-to-power, but the Public Utility Commission of Texas declined to ensure sufficient stakeholder discussion. Even under ERCOT's aggressive timeline, the first cluster of large loads studied in "batch 0" would be notified of qualification in Q1 27, with a transmission plan to the board in September 2027. Until then, projects will likely remain in the current process, where ERCOT reports many are stuck in restudy loops.

Fig 5: ERCOT-reported large-load activity, GW



Source: ERCOT, Energy Aspects

Fig 6: Tracked ERCOT data-centre rated capacity, GW



Source: Baxtel, Energy Aspects

Analysts

New York | Daniel Pyrek, Brian Myers